

COMPANYVAL AI

AI-Assisted Business Valuation

ABC Foods India Pvt Ltd

Comprehensive Valuation Analysis

Valuation Date: 2026-08-23

Purpose: Fund Raising

Indicative Enterprise Value Range: Rs. -5.15 Cr – Rs. 19.89 Cr

Central Estimate: Rs. 4.89 Cr

Low Confidence · Valuation Readiness 52%

1. Executive Summary

This report presents the business valuation for ABC Foods India Pvt Ltd in connection with its upcoming fund-raising initiative in the Food & Beverages sector. Based on a multi-criteria deterministic valuation model, the central Enterprise Value (EV) is estimated at INR 48,852,056.48, translating to a central Equity Value of INR 23,352,056.48 and a per-share value of INR 23.35.

The valuation employs a weighted approach combining Discounted Cash Flow (50% weight), Market Multiple Approach (30% weight), and Adjusted Net Asset Value (20% weight). Due to substantial divergence among individual approach results—spanning an EV range from -INR 51,495,887.04 (DCF) to INR 198,900,000.00 (Market Multiple)—the overall valuation result is categorized as Low Confidence.

- **Enterprise Value (Central Base):** INR 48,852,056.48
- **Equity Value (Central Base):** INR 23,352,056.48
- **Per Share Equity Value:** INR 23.35
- **Valuation Range (EV):** -INR 51,495,887.04 to INR 198,900,000.00

Fair enterprise value estimated between Rs. -5.15 Cr and Rs. 19.89 Cr, with a weighted central estimate of Rs. 4.89 Cr. Equity value: Rs. 2.34 Cr, implying Rs. 23.35 per share.

2. Company Profile

Company	ABC Foods India Pvt Ltd	Industry	Food & Beverages
Entity Type	Private Limited Company	Country	India
Valuation Purpose	Fund Raising	Currency / Units	INR (Crore)
Promoter Holding	74.50%	Total Shares (Diluted)	1,000,000

ABC Foods India Pvt Ltd operates within the Indian Food & Beverages sector and is currently seeking external equity capital for growth and expansion. The business has demonstrated significant top-line expansion, registering a historical Revenue Compound Annual Growth Rate (CAGR) of 21.77% and a latest single-year revenue growth rate of 44.44%.

Management interviews indicate that recent revenue growth was primarily driven by price increases rather than pure volume growth. Management anticipates a realistic annual revenue growth trajectory of 20% over the next five-year projection period.

3. Documents Analysed

Document	Year	Pages	Status	SHA-256 (first 16)
CompanyVal_AI_Schedule_FY2023-24_Financials_FY2023-24.pdf	FY2023-24	9	awaiting_review	325902a65e5dfb8e...
CompanyVal_AI_Schedule_FY2024-25_Financials_FY2024-25.pdf	FY2024-25	9	awaiting_review	f2b90dc5c8fa8478...
CompanyVal_AI_Schedule_FY2025-26_Financials_FY2025-26.pdf	FY2025-26	9	awaiting_review	1f7d6f652b82b251...

4. Historical Financial Performance

Line Item (INR Cr)	FY2022-23	FY2023-24	FY2024-25	FY2025-26
Revenue from Operations	7.20	8.00	9.00	13.00
Other Income	0.10	0.12	0.15	0.18
EBITDA	1.20	1.32	1.68	2.67
Depreciation & Amortisation	0.25	0.28	0.32	0.47
EBIT	0.95	1.04	1.36	2.20
Finance Costs	0.20	0.24	0.26	0.31
Profit Before Tax	0.75	0.80	1.10	1.89
Tax Expense	0.25	0.20	0.28	0.40
Profit After Tax	0.50	0.60	0.82	1.49
Net Worth	2.00	2.60	3.42	4.92

Total Assets	5.00	5.90	6.95	10.50
Cash & Cash Equivalents	0.35	0.45	0.52	0.60
Cash Flow from Operations	0.80	0.95	1.05	0.90
Capital Expenditure	0.64	0.63	0.87	1.72

ABC Foods India Pvt Ltd has delivered expanding historical earnings and revenue metrics across recent operating periods:

- **Revenue CAGR:** 21.77%, with latest annual growth reaching 44.44%.
- **EBITDA CAGR:** 30.55%, with the latest EBITDA margin standing at 20.54% (compared to an average historical margin of 18.09%, reflecting a +1.87 percentage point margin expansion).
- **PAT CAGR:** 43.90%.
- **Volatility Metrics:** Revenue volatility is recorded at 18.86%, while earnings volatility stands at 31.19%.
- **Balance Sheet Trends:** Total debt grew by 65.79%, while working capital requirements expanded significantly by 154.17%.

5. Financial Ratio Analysis

Ratio	FY2022-23	FY2023-24	FY2024-25	FY2025-26
Revenue Growth	—	11.1%	12.5%	44.4%
EBITDA Margin	16.7%	16.5%	18.7%	20.5%
PAT Margin	6.9%	7.5%	9.2%	11.5%
Return on Equity	25.0%	23.1%	24.1%	30.3%
ROCE	24.4%	22.9%	24.9%	27.3%
Current Ratio	1.44×	1.53×	1.72×	1.79×

Debt / Equity	0.95×	0.75×	0.59×	0.64×
CFO / PAT	1.60×	1.58×	1.27×	0.60×
Receivable Days	48	48	47	70

6. Earnings Quality

An analysis of earnings quality highlights potential risks regarding cash conversion efficiency and working capital strain:

The company exhibits an Earnings Quality Risk rated as High due to a Cash Flow from Operations to Profit After Tax (CFO/PAT) ratio below 0.70. This indicates that accounting profits are not fully translating into liquid operational cash flows. Furthermore, Working Capital Risk is rated as Moderate, driven by receivable days increasing by over 20% alongside a 154.17% growth in overall working capital requirements. Debt levels have also scaled up by 65.79%, emphasizing the reliance on external financing to support operations.

7. Normalisation Adjustments

No normalisation adjustments were required.

8. Business Assessment & AI Interview Findings

The core operating profile exhibits strong historical growth, but faces critical execution and operational risks that warrant scrutiny from prospective investors:

- **Execution Risk (High):** The company has demonstrated recent top-line growth exceeding 25% (latest growth at 44.44%). However, management confirmed that recent performance relied significantly on price hikes, raising questions regarding long-term growth sustainability and unit volume expansion.
- **Working Capital & Liquidity Drag:** Receivable collection slowdowns and accelerated working capital growth pose liquidity constraints if top-line growth decelerates.
- **Operational Leverage:** While EBITDA margins expanded to 20.54%, maintaining margin stability amidst potential cost inflation remains critical.

Question	Management Response	Signal
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What principally contributed to the substantial increase in revenue during FY2025-26?	Price increase	Neutral
What annual revenue growth do you consider realistic for the next 5 years?	20%	Positive

9. Key Risks

- **Execution Risk [High]** — Dependence on sustaining unusually high growth. YoY revenue growth exceeds 25% — investigate growth sustainability. Management response captured in the interview.
- **Earnings Quality Risk [High]** — Profits not fully converting to cash. CFO/PAT below 0.70 — earnings are not fully converting to cash.
- **Working Capital Risk [Moderate]** — Collections slowing down. Receivable days increased more than 20% — investigate collections.

10. Valuation Assumptions

Assumption	Value	Source
Revenue Growth (CAGR)	16.0%	Accepted by analyst
EBITDA Margin	18.0%	Accepted by analyst
WACC / Discount Rate	12.0%	Accepted by analyst
Terminal Growth Rate	3.0%	Accepted by analyst
Tax Rate	25.0%	Accepted by analyst
EV/EBITDA Multiple (Exit)	8.5×	Accepted by analyst

11. Discounted Cash Flow (FCFF) Valuation

Year	Revenue	EBITDA	EBIT	NOPAT	Capex	ΔNWC	FCFF	PV(FCFF)
Year 1	Rs. 15.08 Cr	Rs. 2.71 Cr	Rs. 2.17 Cr	Rs. 1.63 Cr	Rs. 2.00 Cr	Rs. 0.49 Cr	Rs. -0.31 Cr	Rs. -0.28 Cr
Year 2	Rs. 17.49 Cr	Rs. 3.15 Cr	Rs. 2.52 Cr	Rs. 1.89 Cr	Rs. 2.31 Cr	Rs. 0.57 Cr	Rs. -0.36 Cr	Rs. -0.29 Cr
Year 3	Rs. 20.29 Cr	Rs. 3.65 Cr	Rs. 2.92 Cr	Rs. 2.19 Cr	Rs. 2.68 Cr	Rs. 0.66 Cr	Rs. -0.42 Cr	Rs. -0.30 Cr
Year 4	Rs. 23.54 Cr	Rs. 4.24 Cr	Rs. 3.39 Cr	Rs. 2.54 Cr	Rs. 3.11 Cr	Rs. 0.76 Cr	Rs. -0.49 Cr	Rs. -0.31 Cr
Year 5	Rs. 27.30 Cr	Rs. 4.91 Cr	Rs. 3.93 Cr	Rs. 2.95 Cr	Rs. 3.61 Cr	Rs. 0.88 Cr	Rs. -0.56 Cr	Rs. -0.32 Cr

PV of explicit FCFF	Rs. -1.49 Cr
PV of Terminal Value (TV Rs. -6.45 Cr)	Rs. -3.66 Cr
Enterprise Value (DCF)	Rs. -5.15 Cr
Less: Debt Rs. 3.15 Cr · Add: Cash Rs. 0.60 Cr → Equity Value	Rs. -7.70 Cr

The valuation framework incorporates three key methodologies, resulting in a wide valuation spread:

- **Discounted Cash Flow (50% Weight):** Standalone EV of -INR 51,495,887.04 and Equity Value of -INR 76,995,887.04, reflecting heavy capital reinvestment drag and cash conversion friction.
- **Market Multiple Method (30% Weight):** EV of INR 198,900,000.00 and Equity Value of INR 173,400,000.00 based on sector peer multiples.
- **Adjusted NAV Method (20% Weight):** Asset-backed EV of INR 74,650,000.00 and Equity Value of INR 49,150,000.00.

Scenario analysis surrounding the base parameters reveals the following outcomes:

- **Base Case:** EV of INR 48,852,056.48 (Assumptions: 16% Revenue Growth, 18% EBITDA Margin, 12% WACC, 3% Terminal Growth, 8.5x EV/EBITDA).
- **Bear Case:** EV of INR 20,543,929.64 and Equity Value of -INR 4,956,070.36 (-57.95% vs Base EV; Assumptions: 10% Growth, 14% Margin, 14% WACC, 2% Terminal Growth, 6.5x Multiple).
- **Bull Case:** EV of INR 82,033,933.21 and Equity Value of INR 56,533,933.21 (+67.92% vs Base EV; Assumptions: 22% Growth, 21% Margin, 10% WACC, 4% Terminal Growth, 10.5x Multiple).

12. Market Multiple Valuation

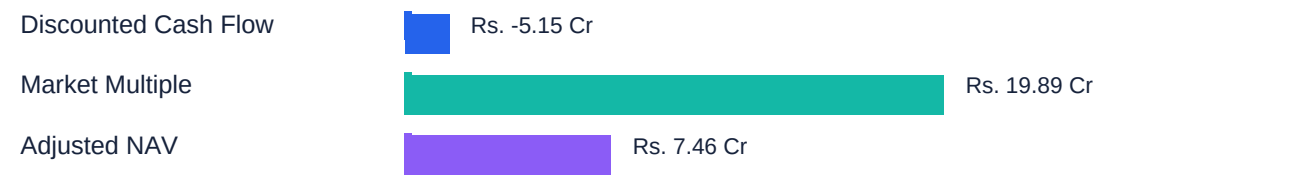
Applied basis: **EV/EBITDA (8.5x)** on normalised EBITDA → Enterprise Value **Rs. 19.89 Cr**, Equity Value **Rs. 17.34 Cr**.

13. Adjusted Net Asset Value

Book net worth Rs. 4.92 Cr adjusted by Rs. 0.00 Cr → Adjusted NAV (equity) **Rs. 4.92 Cr** (Adjusted Tangible).

14. Method Comparison & Weighted Central Estimate

Method	Enterprise Value	Equity Value	Weight	Contribution
Discounted Cash Flow	Rs. -5.15 Cr	Rs. -7.70 Cr	50%	Rs. -2.57 Cr
Market Multiple	Rs. 19.89 Cr	Rs. 17.34 Cr	30%	Rs. 5.97 Cr
Adjusted NAV	Rs. 7.46 Cr	Rs. 4.92 Cr	20%	Rs. 1.49 Cr
Weighted Central Estimate (EV)				Rs. 4.89 Cr



15. Sensitivity Analysis

Equity value across WACC (columns) and terminal growth (rows):

g \ WACC	10.0%	12.0%	14.0%	16.0%
2.0%	Rs. -8.59 Cr	Rs. -7.30 Cr	Rs. -6.45 Cr	Rs. -5.84 Cr
3.0%	Rs. -9.27 Cr	Rs. -7.70 Cr	Rs. -6.70 Cr	Rs. -6.02 Cr
4.0%	Rs. -10.19 Cr	Rs. -8.20 Cr	Rs. -7.01 Cr	Rs. -6.22 Cr
5.0%	Rs. -11.47 Cr	Rs. -8.84 Cr	Rs. -7.38 Cr	Rs. -6.45 Cr

Assumption	Change	EV Impact	% Impact
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EBITDA Margin	+2%	Rs. 2.54 Cr	+51.9%
EV / EBITDA Multiple (Exit)	+1.0x	Rs. 0.70 Cr	+14.4%
Revenue Growth (CAGR)	+2%	Rs. -0.67 Cr	-13.6%
WACC	-1%	Rs. -0.34 Cr	-7.0%
Terminal Growth Rate	+0.5%	Rs. -0.12 Cr	-2.4%

16. Scenario Analysis

Scenario	Rev. Growth	EBITDA Margin	WACC	Enterprise Value	vs Base
Bear Case	10%	14%	14%	Rs. 2.05 Cr	-57.9%
Base Case	16%	18%	12%	Rs. 4.89 Cr	+0.0%
Bull Case	22%	21%	10%	Rs. 8.20 Cr	+67.9%

17. Explainability — Key Value Drivers

Sensitivity analysis indicates that operating profitability is the key driver of firm value:

- **EBITDA Margin:** A +2% increase in EBITDA margin yields a positive impact of INR 25,351,262.69 (+51.89% on Base EV).
- **EV / EBITDA Multiple:** A +1.0x increase in exit multiple adds INR 7,020,000.00 (+14.37% on Base EV).
- **Revenue Growth CAGR:** A +2% increase in revenue growth impacts EV by -INR 6,653,022.48 (-13.62%), as accelerated top-line expansion increases working capital intensity and short-term cash drag under current operating parameters.
- **WACC:** A -1% reduction in discount rate impacts EV by -INR 3,438,738.00 (-7.04%).

18. Indicative Valuation Range & Conclusion

The indicative enterprise-value range of **Rs. -5.15 Cr – Rs. 19.89 Cr** spans the lowest and highest selected methodology values. The weighted central estimate is **Rs. 4.89 Cr** (Low Confidence).

The valuation assessment for ABC Foods India Pvt Ltd establishes a central Enterprise Value of INR 48,852,056.48 and an Equity Value of INR 23,352,056.48 (INR 23.35 per share) for the proposed fund-raising transaction.

Due to significant divergence between market multiples and DCF intrinsic cash flow valuations, the assessment carries a Low Confidence classification. Investment decision-makers should address earnings quality concerns—specifically the low CFO/PAT ratio (<0.70) and expanding receivable cycles—and structure transaction terms with appropriate protective covenants before committing capital.

19. Statement of Assumptions

This valuation relies on the locked, human-approved historical financial data, the explicitly accepted forecast assumptions listed in Section 10, and management representations captured during the AI interview. Method weights: Discounted Cash Flow 50%, Market Multiple 30%, Adjusted NAV 20%.

20. Disclaimer

This document is an **AI-assisted indicative valuation simulation** produced by CompanyVal AI based on financial information supplied by the user and assumptions explicitly accepted by the user. It is **not** a statutory valuation, a registered valuer's certificate under the Companies (Registered Valuers and Valuation) Rules, a fairness opinion, or an audit opinion. Professional judgement and applicable regulatory requirements may be necessary for formal purposes. All deterministic calculations were performed by CompanyVal AI's Python financial engine; AI narrative explains — and does not alter — those results.

21. Appendix — Data Sources & Audit Trail

Financial line items are traceable to source documents/pages and retain Python-extracted, AI-verified and human-approved values. Generated by CompanyVal AI on 23 Aug 2026, 10:14 UTC for Arjun Demo.